Meta Platforms, Inc.

META NASDAQ

Buy	$765.21 ▲ 2.99%	12M Price Target	52-Week Range	Market Cap
		$850.00	$520.26 – $779.82	$1.95T

META: AI Capex Paying Off, Breaking Out to New Highs

WHAT HAPPENED

- META ripped +3% today to $765, closing right at the top of its 52-week range (94th percentile). The move came on heavy volume (~19M shares) with ZERO news catalyst — that usually means institutional money is positioning ahead of something, and earnings season is coming up fast (late October).
- Options flow is screaming bullish — the put/call ratio is 0.63 (meaning way more bets on upside than downside), and we're seeing unusual call buying at $760, $765, and $770 strikes for October expiry at 18-24x normal open interest. Someone with deep pockets is betting this breaks out hard.

WHY IT MATTERS

This looks like a pre-earnings positioning rally — smart money is loading up on calls expecting a beat when META reports in a couple weeks. The bigger story: META's massive AI capex (they're spending ~$70B+ this year on data centers and chips) is starting to look less like a money pit and more like a moat. Here's the kicker — the current regulatory environment on AI content moderation and online safety actually HELPS META because they've already spent billions on compliance infrastructure, while smaller competitors can't afford it. The insider selling by COO Olivan is worth noting but it's small ($850K total) and looks like scheduled 10b5-1 activity, not a panic exit — I wouldn't read too much into it.

POLICY & POLITICAL WATCH

The Kids Online Safety Act (KOSA) and various state-level social media age verification laws are the big regulatory overhang — but counterintuitively, these could entrench META's dominance because they can afford the compliance costs while TikTok and smaller platforms struggle. Watch the FTC antitrust case against Meta (Instagram/WhatsApp divestiture) — this is the real tail risk, but courts have been slow and the current administration's antitrust appetite is uncertain heading into 2027. Also keep an eye on the ongoing US-China tech decoupling — any further restrictions on TikTok in the US are a direct gift to Instagram Reels ad revenue.

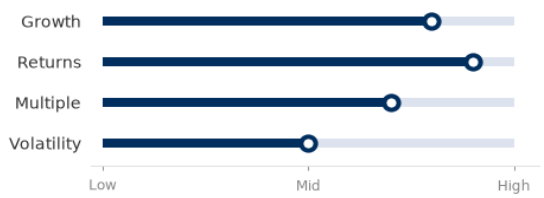
IS IT EXPENSIVE?

At $765, META trades at roughly 27x forward earnings — meaning you're paying $27 for every $1 of profit they'll make next year. That's not cheap, but it's reasonable for a company growing revenue ~15-20% with 35%+ operating margins. Compared to the S&P 500 at ~22x, you're paying a modest premium for one of the best cash-generating machines in the market — the question is whether AI capex eventually earns a return above its cost, and so far the ad business is still funding it comfortably.

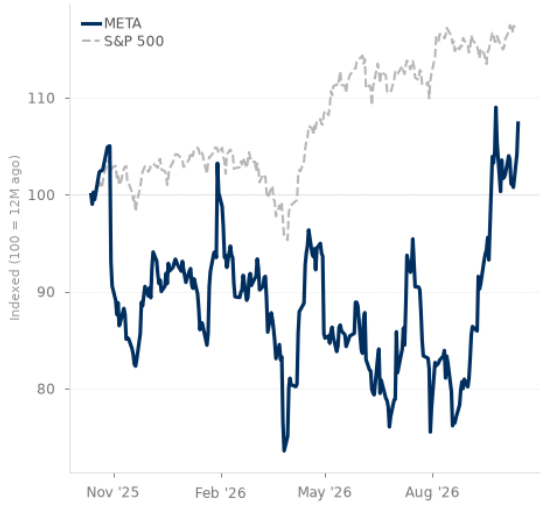
Key Data

Price (USD)	**$765.21**
12M Price Target	**$850.00**
Upside / (Downside)	**+11.1%**
Market Cap	**$1.95T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$235M**
FY2026E EPS	**$28.50**
FY2027E EPS	**$33.20**
Fwd P/E	**26.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 13, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$820.00**	$780.00	**$710.00**
6 Months	**$880.00**	$820.00	**$680.00**
1 Year	**$950.00**	$850.00	**$650.00**
2 Years	**$1150.00**	$950.00	**$600.00**
5 Years	**$1600.00**	$1200.00	**$550.00**
10 Years	**$2500.00**	$1700.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.67% today, +5.27% week) is leading — likely tied to Middle East tensions and winter demand. Communication Services (META's sector) up 1.09% today shows ad-dependent names catching a bid ahead of earnings season.

COOLING OFF: Consumer Staples is flat-to-negative — classic risk-on rotation, money leaving defensive names.

ROTATION WATCH: Money is clearly moving INTO growth/AI-adjacent names (Comm Services) and OUT of defensives. This is a "risk-on" setup that favors META into earnings — people are positioning for upside surprises.

RELATED PLAY: If META's AI thesis keeps working, the picks-and-shovels plays benefit too — NVDA (chips), VRT (data center cooling), and even utilities with data center exposure like CEG or VST.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Also benefiting from AI ad monetization story and search still cash-flowing hard despite ChatGPT competition fears.
- NFLX (Netflix): Ad tier is scaling nicely, benefiting from the same digital ad market strength that lifts META.

META CONTEXT: META is LEADING its peer group right now — breaking out to new highs while GOOGL and SNAP are still consolidating. That tells you institutions see META as the cleanest AI-ad-monetization story. When a stock leads its sector into earnings, it usually means buyside expectations are elevated — which is bullish IF they deliver, dangerous if they don't.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The setup into earnings is strong (options flow, breakout, sector rotation all align), and the long-term AI moat thesis is real. Only reason it's not a 9 is the stock is near 52-week highs so entry risk is elevated.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: I'd prefer to add on pullbacks to $720-740 rather than chase here. If you MUST buy today, scale in — buy 1/3 now, 1/3 on any dip to $740, 1/3 reserved for post-earnings volatility.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings (late October). Longer-term it's AI monetization proof points and resolution of the FTC case.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, if capex guidance jumps another 25%+ without ROI explanation, or if the FTC wins the antitrust case — any of those and I'm trimming hard.

HEDGING: Simple approach — buy some out-of-the-money put options (basically insurance that pays off if the stock crashes) expiring after earnings for 1-2% of your position size. Or pair with a smaller short in SNAP if you want to isolate the META-specific upside.

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